

## S03-L4 — Beyond the Block: The Private Sale

### Summary

A valuable work does not necessarily have to cross the stage of a saleroom to change hands. All three major houses have maintained dedicated private sales departments for years, a channel where the transaction is negotiated in direct conversation, with no public catalogue and no competitive bidding, and one that in 2026 is growing faster than the public auction business itself. This note describes the mechanics of a private sale drawing on the account of David Schrader, who runs the private sales division at Sotheby's, contrasts the private channel with the public one using the criterion advisor Patti Wong proposes, and distinguishes a professional appraisal from an auction estimate, two figures that are frequently confused but answer to different logics.

### 1. What a private sale is

In a consignment for auction, the house announces the work to the entire market, sets a sale date, and lets competition among bidders determine the result on the night. In a private sale the process runs in reverse, the house doesn't publish the work at all but offers it directly to identified buyers, and the price is agreed in private conversation among seller, house and buyer, with no public record of the result and, often, none of the deal itself.

### 2. How it's built, the case of David Schrader at Sotheby's

[David Schrader, head of private sales at Sotheby's](#), described the process as sourcing built to order. Before going out to search, the team turns the client's interest into a precise brief, artist, series, year, size and color, and only then activates an internal network of relationship managers spread across the house's offices worldwide to track down exactly that piece or exactly that buyer<sup>1</sup>. Discretion is tailored to each client's request. Schrader recounted that some clients accept that only two people will know the full details of a deal, while others require that the work never physically reach a Sotheby's building at all, which forces the viewing to be arranged in a warehouse or in a space the buyer chooses<sup>2</sup>.

That same discretion serves a second, less discussed function. A work that goes to auction and fails to reach its reserve is recorded as a piece that found no buyer that night, a fact that circulates publicly and can weigh on future attempts to sell it. A private negotiation that never closes, by contrast, leaves no public trace at all, because it was never announced in the first place.

### **3. When each channel makes sense**

Not every piece of property benefits from the same channel. [Patti Wong](#), founder of Patti Wong & Associates and former chairman of Sotheby's Asia, argues that public auction builds value when a broad universe of plausible buyers exists who can genuinely compete with one another, while that channel is worth reconsidering for high-value works with only a handful of possible buyers worldwide<sup>3</sup>. The logic runs opposite to what is usually assumed, the public saleroom is not superior in every case, it performs better the wider the real demand behind a given piece actually is. Wong also describes how, even in estate consignments with a long-standing relationship to a particular house, the final decision often passes through advisors and law firms who weigh concrete terms before settling on a channel<sup>4</sup>, a useful note against assuming a prior relationship guarantees the choice of the private or the public route.

### **4. Appraisal versus auction estimate**

Two figures a client tends to confuse deserve to be told apart with precision. The auction estimate is a strategic figure, set by the very house that will collect commission on the result, and designed to draw competitive bidding for one specific sale. An appraisal is a different exercise, carried out by an independent professional who does not share in the sale commission, and which answers a different purpose, insurance, an estate, or dividing an inheritance, among others. Neither figure replaces the other, and even a successful private sale still needs to start from a serious valuation of the work before going out to find a buyer.

### **For the conversation with clients**

Facing a client who asks for discretion, it can be explained precisely that a channel without a public saleroom or catalogue does exist, run by a dedicated team inside the same house, and that this channel does not depend on a fixed auction date but on how long it takes to find the right counterpart. It is worth clarifying, in that same conversation, that a private sale does not substitute for a serious evaluation of the work and does not guarantee a better result than a room with real competition, and that if the purpose is insurance or an estate, a separate independent appraisal should be commissioned as well, apart from whatever number the house offers in order to sell.

## References

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1. Sotheby's, ["Privacy Please, The Ins and Outs of Buying and Selling Art Privately"](#), interview with David Schrader, March 24, 2020. [↵](#)
2. Sotheby's, ["Privacy Please, The Ins and Outs of Buying and Selling Art Privately"](#), interview with David Schrader, March 24, 2020. [↵](#)
3. Artnet News, ["Veteran Advisor Patti Wong on How the Auction Market Is Recalibrating"](#), April 1, 2026. [↵](#)
4. Artnet News, ["Veteran Advisor Patti Wong on How the Auction Market Is Recalibrating"](#), April 1, 2026. [↵](#)